VALERIA GARGIULO

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Universitat Pompeu Fabra, Carrer de Ramon Trias Fargas 25-27, 08005 Barcelona

EDUCATION

Universitat Pompeu Fabra *2022 - 2027 (expected)*
PhD Candidate
Advisors: Prof. Barbara Rossi and Prof. Katerina Petrova

Universitat Pompeu Fabra *2021 - 2022*
Master of Research, 2nd Year PhD Track

Barcelona School of Economics *2020-2021*
Master Degree in Economics and Finance, 1st Year PhD Track

University Luiss Guido Carli *2018-2020*
Master Degree in Economics and Finance, *magna cum laude*

University Luiss Guido Carli *2015-2018*
Bachelor Degree in Economics and Business

RESEARCH INTERESTS

Econometrics, Time series econometrics, Nonlinear estimation, Macroeconometrics, Empirical Macroeconomics, Monetary and Fiscal Policy.

REFERENCES

Barbara Rossi
Professor, Department of Economics
European University Institute

Katerina Petrova
Associate Professor, Department of Economics
Ca' Foscari University of Venice

Davide Debortoli
ICREA Research Professor, Department of Economics
Universitat Pompeu Fabra

Christian Brownlees
Associate Professor, Department of Economics
Luiss Guido Carli

JOB MARKET PAPER

The Decoupled Threshold VAR: Mean and Variance Regimes in State-dependent Fiscal Multipliers
[PDF]

This paper proposes a novel approach to the estimation of threshold VARs in which the regimes govern the conditional variance as well as the conditional mean. We introduce the decoupled threshold VAR*, in which the two sets of regimes are driven by different observable state variables with separate thresholds, both estimated from the data; the standard* joint-switching *model, in which the two states and thresholds coincide, is a special case, consistently selected and estimated under our general framework. Existing threshold estimators locate the regimes from the conditional mean alone. We show that this is inconsistent when there is a regime change in the variance – a common feature of macroeconomic data – and inefficient when both moments change, and we develop a likelihood-based estimator that uses both. We establish consistency, derive the nonstandard limiting distributions of the thresholds, and show that their super-consistent rate leaves inference on the regime parameters unaffected. The framework delivers a new reading of U.S. government spending multipliers. Wars and major fiscal events form a separate high-variance regime. Once it is isolated, significant state dependence emerges even at the thresholds imposed in earlier work, and post-WWII multipliers are larger in expansions than in recessions. The result reconciles apparently conflicting findings in the literature.*

RESEARCH PAPERS

PUBLISHED PAPERS:

· **Monetary Policy across Inflation Regimes** (with C. Matthes and K. Petrova).
European Economic Review, Volume 185, September 2026
Does the effect of monetary policy depend on the prevailing level of inflation? In order to answer this question, we construct a parsimonious nonlinear time series model that allows for inflation regimes. We find that the effects of monetary policy are markedly different when year-over-year inflation exceeds 5.5 percent. Below this threshold, changes in monetary policy have a short-lived effect on prices, but no effect on the unemployment rate, giving a potential explanation for the recent "soft-landing" in the United States. Above this threshold, the effects of monetary policy surprises on both inflation and unemployment can be larger and longer-lasting.

WORKING PAPERS:

· **A New Approach to Fiscal Multipliers: Time Variation and Highly Disaggregated Shocks** (with A. Inoue and B. Rossi).
CEPR Discussion Paper 20670.
What are the effects of fiscal shocks on the economy, and do they change over time? This is a long standing question in macroeconomic analysis, but we show that recent advances in data collection at very disaggregated and high frequency levels can help us answer it. This paper makes two main contributions to the literature. The first contribution is the construction of a new dataset of county-level government spending shocks in US data, available at several frequencies, including monthly, quarterly, and yearly frequencies at the most disaggregated county-level data, as well as daily frequencies at the aggregate national level. The second contribution is to shed light on the time-varying effects of fiscal policy shocks at a very disaggregated level by leveraging on the richness of the new data set. We find that the COVID-19 pandemic was associated with unprecedented challenges in the ability of governments to stimulate the economy: economic variables significantly respond to government spending shocks before and after the pandemic, while there are no significant responses during the pandemic. The fiscal stimulus that occurred before the pandemic had persistent effects over time, suggesting that the economic slowdown during those years could have been even more severe without it.

· **MEGAIReF: An Estimated Open-Economy DSGE model for the Spanish Economy with Fiscal and Monetary Policy** (with D. Debortoli, C. Herrero, E. Morales, L. Navarro and A. Serrano)
This paper presents MEGAIReF, a medium-scale estimated dynamic stochastic general equilibrium (DSGE) model for the Spanish economy. The model describes a small open economy with heterogeneous households —Ricardian and Hand-to-Mouth— nominal rigidities in price and wage setting, and real rigidities such as monopolistic competition, investment adjustment costs, and a frictional labor market giving rise to unemployment dynamics. It also incorporates a banking sector with financial intermediation frictions, generating a financial accelerator mechanism. In addition, MEGAIReF features a comprehensive fiscal block encompassing multiple expenditure categories —public consumption, public investment, and public employment— as well as a detailed specification of revenue instruments, including taxes on consumption, labor income, and personal and corporate income. All fiscal instruments respond endogenously to macroeconomic conditions through a set of estimated fiscal rules. The model is estimated with Bayesian methods using data for Spain and the Euro area.

WORK IN PROGRESS:

· **Threshold Estimation in VAR and LP Under Proxy Identification Scheme** (with A. Ghosh).
Central to macroeconomic analysis is the study of the propagation of structural shocks, normally performed via the estimation of IRFs. Such an investigation often employs one of two popular empirical tools: VARs or LPs. Despite the apparent differences between such approaches, recent studies have shown that both estimate the same impulse responses in population. However, this result has been proven exclusively for linear models. Given this result in linear models, a natural question that arises is: does the equivalence also hold for the estimation of the thresholds in their regime-dependent counterparts? To answer it, we employ the joint threshold estimator for a TVAR proposed by Gargiulo (2026). Then, we show how such estimator can be employed within a regime-dependent LP framework and provide an analytical comparison between the two models' threshold estimates. We find conditions for the equivalence of the estimates.

RESEARCH EXPERIENCE

Research Assistant - Prof. Davide Debortoli (UPF) 2024-2026
Research Assistant - Prof. Barbara Rossi (UPF) 2023-2024
Research Assistant - Prof. Andrea Polo (Luiss) 2021

TEACHING EXPERIENCE

Barcelona School of Economics - Graduate Courses Barcelona, Spain
Teaching Assistant for: *2021- Present*

- "Advanced Econometric Methods III", 1st year PhD Track - Prof. Tatevik Sekhposyan (Spring 2026).
- "Advanced Econometric Methods III", 1st year PhD Track - Prof. Adam Lee (Spring 2025).
- "Advanced Econometric Methods III", 1st year PhD Track - Prof. Barbara Rossi (Spring 2024).
- "Advanced Econometric Methods III", 1st year PhD Track - Prof. Katerina Petrova (Spring 2023).
- "Econometric Methods I", Master Program in Economics - Prof. Geert Mesters (Fall 2022).
- Supervisor for "Master Project", 1st year PhD Track (2022, 2023, 2024, 2025, 2026).
- "Quantitative and Statistical Methods I", Master Program in International Trade, Finance and Development - Prof. Geert Mesters (Fall 2021).
- "Macroeconomics II", Master Program in Economics - Prof. Luca Fornaro and Prof. Danilo Guaitoli (Spring 2022).

Universitat Pompeu Fabra - Undergraduate Courses Barcelona, Spain
Teaching Assistant for: *2021- Present*

- "Econometrics", Double Degree in Economics and Engineering - Prof. Katerina Petrova (Fall 2022).
- "Business Economics", ADE - Prof. Theo Vladasel

ACADEMIC ACHIEVEMENTS

- GPEFM PhD Track Fellowship - Universitat Pompeu Fabra 2021
- Special Mention for Academic Distinction - University Luiss Guido Carli 2020

CONFERENCES AND SEMINARS

2026 EAYE Annual Meeting 2026, BSE PhD Jamboree, IMAEF 2026, SED Annual Meeting 2026, EEA-ESEM 2026, Macro Lunch CREI Seminar

2025 WE_ARE_IN Macroeconomics and Finance 2025 (poster), EC^2 2025, SNDE-IIF Junior Workshop, Macro Lunch CREI Seminar

2024 2024 RCEA, BSE PhD Jamboree, BSE Summer Forum (poster), BSP International Research Fair, CEBRA Annual Meeting 2024, Second Women in Central Banking Workshop, Macro Lunch CREI Seminar

2023 BSE Summer Forum (poster)

PROFESSIONAL EXPERIENCE

Referee Quarterly Review of Economics and Finance

ADDITIONAL SKILLS

Programming skills
MATLAB (Advanced), R (Advanced), LaTex (Advanced), Stata (Intermediate), MS Office (Intermediate)

Languages
Italian (Native), English (Fluent), Spanish (Fluent), Catalan (Conversational), French (Basic)